

STOCK REDEMPTION AGREEMENT

THIS STOCK REDEMPTION AGREEMENT is entered into to be effective as of March 4, 2022 (“Effective Date”), by and between Thomas Walters (“Redeeming Shareholder”) and Hallmark Management Service, Inc., an Ohio corporation (the “Company”).

WHEREAS, the Company desires to redeem, and Redeeming Shareholder desires to sell all 400 shares of stock of the Company owned by Redeeming Shareholder representing Redeeming Shareholder’s 50% ownership of Company (“the Redeemed Stock”);

NOW, THEREFORE, in consideration of the money to be paid to the Redeeming Shareholder, and the other terms and promises made in this Agreement, the parties agree as follows:

1 Redemption. Upon the terms and subject to the conditions herein, the Redeeming Shareholder agrees to sell, transfer, assign and deliver to the Company, and the Company agrees to acquire from the Redeeming Shareholder the Redeemed Stock.

2 Purchase Price. As consideration for the purchase of the Redeemed Stock and the other obligations of the Redeeming Shareholder hereunder, and in reliance upon the representations and warranties made herein by Redeeming Shareholder, the Company shall pay to the Redeeming Shareholder the purchase price of One Million Two Hundred Thirty-three Thousand Three Hundred and 00/100 Dollars (\$1,233,300.00), as follows:

A. Four Hundred Thirty-three Thousand Three Hundred and 00/100 Dollars (\$433,300.00) in cash at closing; and

B. Eight Hundred Thousand and 00/100 Dollars (\$800,000.00) pursuant to the terms of the Promissory Note attached as Exhibit A (“the Note”).

3 Certificates. Redeeming Shareholder shall deliver to the Company all certificates representing the Redeemed Stock.

4. Resignation. As of the Effective Date, Redeeming Shareholder resigns his position as an employee, officer and director, and any other agency capacity within the Company, and the Company accepts the resignations.

5. Mutual Release. Each of the Company and Bryan West releases the Redeeming Shareholder from any and all claims, liabilities or obligations, known or unknown, whether now or existing or hereafter arising, related to operation of the Company or its business, and his position as a shareholder, director or officer of the Company. The Redeeming Shareholder hereby releases the Company and Bryan C. West from any and all claims, liabilities or obligations, known or unknown, whether now or existing or hereafter arising, related to operation of the Company or its business, and his position as a shareholder, director or officer of the Company.

6. Representations and Warranties of the Company. The Company represents and warrants to the Redeeming Shareholder that the Company is a corporation duly organized, validly existing and in good standing under the laws of the State of Ohio; the Company has all necessary power and authority to enter into this Agreement and has taken all action necessary to consummate the transaction contemplated thereby and to perform its obligations thereunder; and that this Agreement has been duly executed and delivered by the Company and is a legal, valid and binding obligation of the Company enforceable against the Company in accordance with its terms.

7. Representations, Warranties and Covenants of the Redeeming Shareholder. Redeeming Shareholder represents, warrants and covenants to the Company as follows:

A. Title. The Redeeming Shareholder owns the Shares beneficially and of record, free and clear of any encumbrances. Upon delivery and payment for the Shares, the Company shall acquire good and valid title to the Shares, free and clear of all encumbrances.

B. Confidentiality. The Redeeming Shareholder acknowledges and agrees that the Company has invested, and will continue to invest substantial time, effort and money developing various of its services, products and clients, and in the course thereof, has developed and will develop certain information, strategies and techniques that are confidential and proprietary. Accordingly, the Redeeming Shareholder agrees that he will not, directly or indirectly, for his own benefit or the benefit of any other person or entity, or for any purpose whatsoever, use or disclose any such confidential or proprietary information, or the use thereof by the Company. The foregoing obligations of confidentiality shall not apply to information that the Redeeming Shareholder can demonstrate is (a) now part of the public domain or subsequently enters into the public domain other than through any act or omission of the Redeeming Shareholder in breach of this Agreement (which shall not include any information that is disclosed in accordance with subsection (b) below); or (b) required to be disclosed pursuant to a court order or in compliance with applicable laws or regulations, provided that the Redeeming Shareholder shall, to the extent practicable, give reasonable advance notice to the Company of such requirement to disclose such information and will use reasonable efforts, without any material out-of-pocket cost, to secure confidential treatment of the information.

C. Non-Competition. For a period of five (5) years after the Effective Date, the Redeeming Shareholder agrees that he will not, directly or indirectly, for himself or on behalf of any other person or entity, own, manage, operate, control or otherwise in any manner be affiliated with, or engage or participate in the ownership, management, operation or control of, or be employed or otherwise engaged by any person or entity which offers products and services the same as or substantially similar to those of the Company, or otherwise competes with the Company.

D. Non-Solicitation. For a period of five (5) years after the Effective Date, the Redeeming Shareholder agrees that he will not, directly or indirectly, for himself or on behalf of any other person or entity, (a) solicit or attempt to solicit any employee of the Company to terminate that employment, or employ or attempt to employ any employee of the Company, (b) solicit, divert, take away, or in any manner interfere with any of the business, clients or contractors of the Company.

E. Reasonableness of Restrictions. The Redeeming Shareholder acknowledges that the restrictions imposed by this Agreement are fair and reasonable and are reasonably required for the protection of the Company. In the event that the Redeeming Shareholder acknowledges or is determined to have breached the covenants against competition and solicitation in this Agreement, the term of such covenants shall be automatically extended by the time during which such breach existed.

8. Breach. The Redeeming Shareholder agrees that any breach of the terms of this Agreement will result in irreparable injury and damage to the Company for which the Company would have no adequate remedy at law, and, therefore, the Redeeming Shareholder agrees that in the event of said breach or any threat of breach, the Company shall be entitled to an immediate injunction and restraining order, without the posting of any bond, to prevent such breach and/or threatened breach and/or continued breach by the Redeeming Shareholder and/or any and all persons and/or entities acting for and/or with the Redeeming Shareholder, without having to prove damages; and, that the Company shall be entitled to all costs and expenses, including reasonable attorneys' fees and costs, in addition to any other remedies to which the Company may be entitled at law or in equity. The terms of this paragraph

shall not prevent the Company from pursuing any other available remedies for any breach or threatened breach hereof, including but not limited to the recovery of damages from the Redeeming Shareholder.

9. Receivable. The parties acknowledge that the Company is presently pursuing Ohio Valley University for collection of a \$96,998.45 receivable. The Company shall promptly pay to Redeeming Shareholder fifty percent (50%) of all amounts received by the Company after the Effective Date for such receivable after deducting fifty percent (50%) of all costs and expenses incurred relative to such collection.

10. Life Insurance. The Company shall continue payment of premiums sufficient to maintain the current death benefit payable under the insurance policies owned by the Company on the lives of Bryan C. West and the Redeeming Shareholder, until payment of all amounts due under the Note.

11. Survival. This Agreement shall survive consummation of the transactions contemplated by this Agreement.

12. Severability. The invalidity or unenforceability of any term or provision, or any clause or portion thereof, of this Agreement shall in no way impair or affect the validity or enforcement of any other provision of this Agreement, which shall remain in full force and effect.

13. Entire Agreement. This Agreement contains the entire agreement between the parties hereto with respect to the subject matter hereof, and any and all prior correspondence, conversations, agreements or memoranda are merged herein and replaced hereby.

14. Modification; Waiver. No provision of this Agreement may be modified, waived or discharged unless such modification, waiver or discharge is agreed to in writing and is signed by the parties hereto. No failure, delay or waiver by any party hereto in exercising any right hereunder at any time with respect to any breach by any other party of, or compliance with, any provision of this Agreement to be performed by such other party shall be deemed a waiver of similar or dissimilar provisions at the same or at any prior or subsequent time.

15. Binding Effect. The term, agreements, covenants and conditions of this Agreement shall be binding upon, and inure to the benefit of and be enforceable by the parties' respective heirs, successors and permitted assigns.

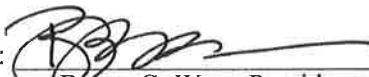
16. Governing Law. This Agreement shall be governed by and construed in accordance with the laws of the State of Ohio.

The parties have signed this Stock Redemption Agreement as of the date first listed above.

COMPANY:

Hallmark Management Service, Inc.

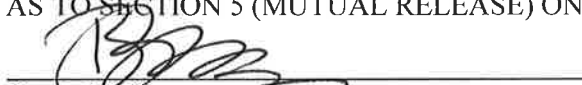
By: _____


Bryan C. West, President

REDEEMING SHAREHOLDER:


Thomas Walters

AS TO SECTION 5 (MUTUAL RELEASE) ONLY:


Bryan C. West

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